

Notes on Arellano et al. (2019)

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Motivation Post-crisis observations: 1. Micro: Dispersion in firm growth rate; 2. Macro: Fall in labour and output; 3. Financial: Tightening in credit but small TFP drop.

Research question Can an increase in the volatility of firm-level idiosyncratic productivity shocks that generates the observed increase in the cross-sectional dispersion in recent recession lead to a sizable constraction in aggrgeate economic activity and tighter financial conditions?

Model

References

Arellano, Cristina, Yan Bai, and Patrick J Kehoe, “Financial Frictions and Fluctuations in Volatility,” *Journal of Political Economy*, September 2019, 127 (5), 2049–2103.